

DCF Model For Asian Paints

Financial Modelling

Company OverView

Asian Paints Limited is India's leading paints and home décor company, offering decorative paints, industrial coatings, waterproofing solutions, and home improvement products & services.

- Decorative Paints – India's market leader.
- Industrial Coatings – Automotive & protective coatings.
- Home Décor – Kitchens, bath fittings, lighting, furniture & furnishings.
- Beautiful Homes – Painting and interior décor services.
- Waterproofing & Construction Chemicals – Building protection solutions.

Business Highlights:
Founded: 1942 | India's Largest Decorative Paint Company |
15+ International Markets | 74 Beautiful Homes Stores |
80+ Years of Industry Leadership

Key assumption and Methodology

Parameter	Value	Rationale
Valuation Date		
Projection Period		
Revenue Growth %	12%	Based on management guidance
Annual Growth Tapering	2%	
Terminal Growth Rate	5.0%	Conservative long-term growth in line with India's nominal GDP growth and mature decorative-paints industry potential
Risk-Free Rate(Rf)	6.8%	10-year Indian Government Bond yield (approx. July 2026)
Equity Risk Premium(ERP)	5.2%	Expected return over risk-free rate for equity investors
Tax Rate	25%	

Financial Performance (₹ Crores)						
INCOME STATEMENT						
Particulars	2021A	2022A	2023A	2024A	2025A	2026A
Sales	21,712.79	29,101.28	34,488.59	35,494.73	33,905.62	35,583.54
% growth		34.0%	18.5%	2.9%	-4.5%	4.9%
Cost of Goods Sold	12,487.46	18,795.96	21,730.29	20,675.07	20,135.49	20,679.90
% of revenue		86.6%	63.0%	58.2%	59.4%	58.1%
Gross Profit	9,225.33	10,305.32	12,758.30	14,819.66	13,770.13	14,903.64
% Margin		47.5%	37.0%	41.8%	40.6%	41.9%
Operating Expenses	4,369.73	5,501.71	6,498.46	7,234.68	7,763.92	8,203.91
% of revenue		25.3%	18.8%	20.4%	22.9%	23.1%
EBITDA	4,855.60	4,803.61	6,259.84	7,584.98	6,006.21	6,699.73
% Margin		22.4%	18.2%	21.4%	17.7%	18.8%
Depreciation	791.27	816.36	858.02	853.00	1,026.34	1,228.85
% of Sales		3.6%	2.5%	2.4%	3.0%	3.5%
EBIT	4,064.33	3,987.25	5,401.82	6,731.98	4,979.87	5,470.88
% Margin		18.7%	15.7%	19.0%	14.7%	15.4%
Other Income	331.65	295.88	431.46	820.96	350.22	727.97
Interest	91.63	95.41	144.45	205.17	227.02	195.41
% of debt		8.4%	6.0%	7.5%	8.3%	9.9%
Profit before tax	4,304.35	4,187.72	5,688.83	7,347.77	5,103.07	6,003.44
% of revenue		19.8%	16.5%	20.7%	15.1%	16.9%
Tax	389.73	321.42	391.66	373.29	415.17	428.63
% of PBT		9.1%	7.7%	6.9%	5.1%	7.1%
Net profit	3,914.62	3,866.30	5,297.17	6,974.48	4,687.90	5,574.81
% of revenue		18.0%	15.4%	19.6%	13.8%	15.7%

BALANCE SHEET						
Particulars	2021A	2022A	2023A	2024A	2025A	2026A
Equity Share Capital	95.92	95.92	95.92	95.92	95.92	95.92
Reserve	12,710.37	13,715.64	15,896.31	18,632.38	19,303.89	21,275.67
Borrowings	1,093.12	1,586.88	1,932.62	2,474.38	2,290.29	3,928.93
Other Liabilities	6,455.93	7,559.99	7,854.48	8,698.09	8,665.15	9,218.23
Total	20,355.34	22,958.43	25,779.33	29,900.77	30,355.25	34,518.75
Net Block	5,858.52	5,519.06	5,770.46	7,146.62	9,220.10	9,640.28
Capital Work in Progress	182.98	426.43	1,019.59	2,698.37	1,254.49	1,848.67
Investments	4,736.80	3,247.53	4,261.71	4,587.92	4,724.75	7,061.74
Receivables	2,602.17	3,871.44	4,636.94	4,889.05	4,313.65	4,461.80
Inventory	3,798.60	6,152.98	6,210.64	5,923.41	6,719.27	5,743.69
Cash & Bank	610.75	864.33	843.32	1,084.01	781.98	1,073.68
Other Assets	2,565.52	2,876.66	3,036.17	3,571.39	3,341.01	4,688.89
Total	20,355.34	22,958.43	25,779.33	29,900.77	30,355.25	34,518.75

Revenue Projections & Growth Assumptions						
Year	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E
Revenue Growth %	17%	15%	13%	11%	9%	7%
Revenue (in Crs)	41633	47878	54102	60053	65458	70040
Chosen Scenario	Best case					
Base case	12%	10.0%	8.0%	6.0%	4.0%	2.0%
Best case	17.00%	15.00%	13.00%	11.00%	9.00%	7.00%
Worst Case	7.00%	5.00%	3.00%	1.00%	-1.00%	-3.00%

Free Cash Flow Projections (₹ Crores)						
Particulars	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E
Revenue	41633	47878	54102	60053	65458	70040
EBITDA Margin %	18.8%	18.8%	18.8%	18.8%	18.8%	18.8%
EBITDA	7839	9014	10186	11307	12324	13187
Less: Depreciation	1236.6	1357.5	1538.0	1778.3	2121.0	2418.8
EBIT	6602	7657	8648	9529	10204	10768
Less: Tax	1651	1914	2162	2382	2551	2692
NOPAT	4952	5743	6486	7146	7653	8076
Add : Depreciation	1236.6	1357.5	1538.0	1778.3	2121.0	2418.8
Less : Reinvestment	(2,476)	(2,871)	(3,243)	(3,573)	(3,826)	(4,038)
Free Cash Flow to Firm	3712	4229	4781	5352	5947	6457

WACC Calculation

Target Capital Structure

Proportion of Debt 0.3%

Proportion of Equity 99.7%

Current Capital Structure

Market Cap 256,105.81

Total Debt 3,928.93

Debt/Equity 1.5%

Cost of Debt

Pre - Tax Cost of Debt 7.5%

Tax Rate 25.0%

After - Tax Cost of Debt 5.6%

Cost of Equity

Risk Free Rate 6.8%

Equity Risk Premium 5.2%

Levered Equity Beta 0.71

Cost of Equity 10.5%

WACC 10.5%

Terminal Value Calculation

Terminal Year FCF (FY32) 6,456.93

Terminal Growth Rate (g) 5.0%

Terminal value = FCF * (1+g)/(WACC - g)

Terminal Value 123,391.71

Present Value Calculation

Year	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	Terminal Value
FCF (₹ Cr)	3,712.36	4,228.87	4,781.17	5,351.51	5,947.30	6,456.93	123,391.71
Discount Factor	0.905022	0.819065	0.741272	0.670888	0.607151	0.549485	0.549485

PV of FCF (₹ Cr)	3,359.77	3,463.72	3,544.15	3,590.16	3,610.91	3,547.99	67,801.86
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DCF Valuation Summary

Sum of PV of FCF (FY27-32)

21,116.68

PV of Terminal Value

67,801.86

Enterprise Value

88,918.54

Enterprise Value	88,918.54
Less : Net Debt	3,828.93
Add : Cash & Investment	1,073.68
Equity Value	86,063.29
Shares Outstanding	95.92
Fair Value Per Share	897.24
Current Market Price	2,670.00
Upside/Downside	-66.4%

Sensitivity Analysis

Terminal Growth/ WACC						
	897.24	9.0%	9.5%	10.0%	10.5%	11.0%
	3.0%	891.22	817.11	753.66	698.74	650.73
	4.0%	1,037.38	936.97	853.38	782.71	722.19
	5.0%	1,256.73	1,110.17	993.02	897.24	817.49
	6.0%	1,622.58	1,382.50	1,202.58	1,062.74	950.95
	7.0%	2,355.29	1,873.16	1,552.10	1,322.96	1,151.24
						1,017.76

Key Risks & Considerations

Upside Risk :

Premiumisation : Faster mix-shift to premium emulsions and waterproofing could lift blended margins
Market Share Recovery - Regaining decorative paints share lost to new, well-funded entrants
Home Décor Scale-up : Beautiful Homes and kitchens/bath businesses reaching profitability faster than planned
International Growth : Faster ramp-up in the 15+ international markets and new capacity (e.g. UAE white cement)

Downside Risks :

Intensifying Competition : Aggressive pricing and distribution investment from Birla Opus, JSW Paints and other new entrants
Raw Material Volatility : Crude-linked input costs (titanium dioxide, solvents) pressuring gross margins
Demand Slowdown : Weak urban discretionary spending and a soft real-estate/repaint cycle
Margin Compression : Continued price cuts to defend volume share could structurally lower EBITDA margins
Execution Risk : Losses in adjacent Home Décor / Beautiful Homes businesses persisting longer than expected

Conclusion & Recommendation

Based on our DCF Analysis, Asian Paints Ltd.'s intrinsic value is estimated at Rs. 897.24 per Share, compared to the market price of Rs. 2,670 per share, suggesting that the stock is trading at a significant premium of ~198% to its fair value (~66% downside to fair value).

Key findings:

Revenue growth has moderated to a CAGR of ~10.4% over FY21-26, slower than several listed paint peers.
EBITDA margins have compressed from ~22.4% to ~18.8% over the same period as competitive intensity has risen.
Current valuation appears stretched at ~46x trailing earnings and ~39x EV/EBITDA, near the top of the peer range.

Investment Recommendation : REDUCE

While Asian Paints remains India's largest paint franchise with unmatched distribution and brand equity, intensifying competition from well-funded new entrants (e.g. Birla Opus, JSW Paints) is pressuring volumes and margins. The current price leaves little margin of safety versus DCF fair value. Investors may con-

- Existing shareholders may hold with trailing stop losses.
- New investors should wait for a better entry point / valuation correction.
- Consider a phased approach (SIP-style accumulation) rather than a lump-sum entry.

COMPARABLE COMPANY ANALYSIS

Financial Modelling

COMPS Data

Company	Ticker	Price	Market Cap	Sales	EBITDA	Net Income	Beta	Total Debt	Cash & Cash Equivalents	EV/EBITDA	P/E
Asian Paints	ASIANPAINT	2,670.00	256,106	35,584	6,700	5,575	0.87	3,929	1,074	38.65x	45.94x
Berger Paints	BERGEPAINT	500.00	59,046	11,880	1,950	1,128	0.75	100	364	30.14x	52.35x
Kansai Nerolac	KANSAINER	201.00	16,271	8,052	1,100	576	0.75	276	1,994	13.23x	28.25x
Indigo Paints	INDIGOPNTS	1,067.00	5,007	1,330	252	145	0.67	10	78	19.60x	34.53x
Akzo Nobel India	AKZOINDIA	3,477.00	15,835	4,091	530	429	0.44	50	550	28.93x	36.91x

Source: Screener.in, TipRanks, StockAnalysis.com, company filings (approx. figures, ₹ Crore, as of July 2026). Peer Beta, Debt & Cash are analyst estimates where exact figures were unavailable.

Industry Beta

Company Name	Equity Value	Total Debt	Debt/Equity	Debt/Capital	Tax Rate %	Levered Beta	Unlevered Beta
Berger Paints	59,046	100	0.2%	0.2%	25.0%	0.75	0.75
Kansai Nerolac	16,271	276	1.7%	1.7%	25.0%	0.75	0.74
Indigo Paints	5,007	10	0.2%	0.2%	25.0%	0.67	0.67
Akzo Nobel India	15,835	50	0.3%	0.3%	25.0%	0.44	0.44
Average			0.6%	0.6%	25.0%	0.65	0.65
Median			0.3%	0.3%	25.0%	0.71	0.70

Comparable Companies Analysis

Market Data					Financial Data					Valuation			
Company Name	Ticker	Price (₹/Share)	Shares Outstanding (Cr)	Market Cap (₹ Cr)	Debt (₹ Cr)	Cash & Cash Equivalents (₹ Cr)	EV (₹ Cr)	Sales (₹ Cr)	EBITDA (₹ Cr)	Net Income (₹ Cr)	EV/Sales (x)	EV/EBITDA (x)	P/E (x)
Asian Paints	ASIANPAINT	2,670.00	95.92	256,106	3,929	1,074	258,961	35,584	6,700	5,575	7.28x	38.65x	45.94x
Berger Paints	BERGEPAINT	500.00	118.09	59,046	100	364	58,782	11,880	1,950	1,128	4.95x	30.14x	52.35x
Kansai Nerolac	KANSAINER	201.00	80.95	16,271	276	1,994	14,553	8,052	1,100	576	1.81x	13.23x	28.25x
Indigo Paints	INDIGOPNTS	1,067.00	4.69	5,007	10	78	4,939	1,330	252	145	3.71x	19.60x	34.53x
Akzo Nobel India	AKZOINDIA	3,477.00	4.55	15,835	50	550	15,335	4,091	530	429	3.75x	28.93x	36.91x
Average											4.30x	26.11x	39.60x

COMPANY NAME	ASIAN PAINTS LTD									
LATEST VERSION	2.10			PLEASE DO NOT MAKE ANY CHANGES TO THIS SHEET						
CURRENT VERSION	2.10									
META										
Number of shares	95.92									
Face Value	1.00									
Current Price	2,670.00									
Market Capitalization	256,105.81									

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